This methodology document stands superseded. Refer to ICRA's website www.icra.in to view the methodology for rating Non-Banking Finance Companies, which now subsumes the methodology for rating Housing Finance Companies.

ICRA

ICRA Rating Feature

RATING METHODOLOGY

September 2019

Rating Methodology for Housing Finance Companies

This note updates and supersedes ICRA's earlier methodology note on the industry published in October 2016. While this revised version incorporates a few modifications, ICRA's overall approach towards rating housing finance companies (HFCs) remains materially similar.

Overview

HFCs play an important role in the Indian financial market. They compete with banks in offering home loans and other related products. Apart from traditional home loans, HFCs offer products like loan against property, builder loans, and lease rental discounting. There are some significant differences in the regulatory treatment of banks versus HFCs, with HFCs being given greater flexibility in matters relating to the governance structure and operations, the freedom to lend independent of priority sector targets, and lower statutory reserve requirements[1]. However, at the same time, there are regulatory restrictions on the services that can be offered by HFCs and their fund-raising options. For instance, HFCs cannot mobilise savings or current deposits, while some HFCs can mobilise term deposits, subject to statutory limits.

Although HFCs primarily provide home loans, they also offer the following products:

- Loan against property (residential, commercial)
- Builder, construction finance or project loans
- Lease rental discounting
- Others, including personal loans and insurance loans

ICRA's Risk Analysis Framework for HFCs

For rating an HFC, ICRA evaluates the company's business, financial and management risks, and uses this to project the level and stability of its future financial performance in various possible scenarios, as required. The ratings are determined on a 'going concern' basis rather than on a mere assessment of the company's assets and debt levels on a particular date. The broad parameters for assessing the business and financial risks of an HFC are presented below and discussed in the following sections. This methodology note does not purport to be an exhaustive discussion on all the rating parameters involved in assigning credit ratings to HFCs but presents a broad framework for the exercise.

- **Business Risk**
  - Business Profile
  - Operating Environment

- **Financial Risk**
  - Profitability
  - Liquidity
  - Capital Adequacy
  - Asset Quality

- **Management Risk**
- **Ownership/Parentage**

---

[1] *Applicable only for deposit accepting HFCs*

While several parameters are used to assess an HFC's business and financial risks, a company with a strong business profile and stable financial performance would be viewed more favourably than one with comparable or better financial numbers but with a weaker business profile. Therefore, more weight is given to the company's business and management risk profile compared to its financial performance.

BUSINESS RISK

• Business Profile

ICRA's analysis of an HFC's business profile involves the assessment of the product offering, asset mix, borrower profile, geographical presence, size of the franchise/portfolio, track record of operations and the envisaged pace of growth. The assessment of these parameters would provide an insight into the HFC's risk appetite, experience, competitive position and responsiveness to adverse market-related changes. As some of these parameters are qualitative, ICRA tries to remove the subjectivity in its analysis by capturing and assessing information on defined sub-parameters and using the same to make a comparison across various companies.

Product Mix and Riskiness

The target asset segments, the overall asset mix and borrower profile indicate the lender's risk appetite. HFCs have various asset segments, namely prime home loans, affordable housing loans, loan against property, construction finance loans, lease rental discounting, etc. Product riskiness is evaluated on the basis of a confluence of factors, namely the prevailing operating environment, historical and recent trends in asset quality, loan granularity, strength of the loan security and recoverability in the event of default. While each product segment entails a certain amount of credit risk, the target borrower profile (salaried vs. self-employed) would also be a determinant factor in estimating the overall risk within the retail segment.

HFCs compete with banks in the housing finance space. Although some of the larger HFCs are able to compete with banks that focus primarily on the salaried home loan segment, most of the other HFCs target special customer segments, such as self-employed and affordable housing, to optimise the yields and capitalise on the higher growth potential offered by these segments. In addition to the borrower profile, the product mix is a key determinant of the riskiness associated with an HFC. The following exhibits depict the various borrower segments catered for by HFCs for retail loans and the various products offered across the risk spectrum.

Exhibit 1: Products offered by HFCs across the risk spectrum

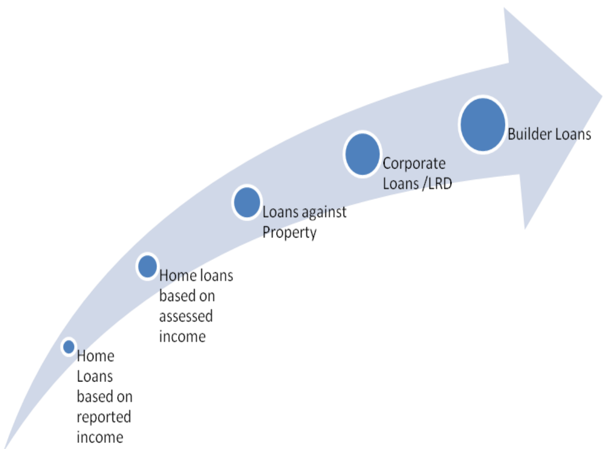

Exhibit 2: Various borrower segments catered by HFCs for retail loans

Track Record, Competitive Position and Sustainability

The track record of operations is evaluated in the context of completed loan cycles. Thus, a five-to-six-year old mortgage finance company would be said to have an average track record (the typical loan tenure being 12-15 years). Further, if an HFC is expanding into new products and geographies, its track record and management experience may not provide the same level of comfort as an HFC with a stable growth rate within existing geographies with the same loan mix.

The competitive position of an HFC reflects its ability to respond to market changes by way of changing the lending norms, sourcing, business yields, etc, while maintaining a comfortable business margin. A diverse geographical presence is expected to bolster an HFC's competitive position as this will offset the credit risks arising from an unfavourable regional development. Further, an HFC's franchise strength determines its capacity to grow while maintaining reasonable risk-adjusted returns and resilient earnings, thereby facilitating the predictability of its future financial performance. It may be noted that an HFC with a significant market share as well as an HFC that is a niche player can both have a defensible franchise[2], which could, in turn, benefit their individual credit profiles.

An HFC with a diversified geographical presence and product offering is viewed favourably as its competitive position is likely to be better and concentration-related risks are expected to be lower. HFCs face higher credit-related challenges in the early phase of expansion into new products and geographies. This would be a monitorable from a rating perspective.

Size has a bearing on the company's competitive position. Larger firms generally operate across states and exhibit better product diversity. They are also expected to have lower credit risk concentration, better operating efficiency, good stability in earnings, and better financial flexibility.

Optimal portfolio growth and sourcing are key for business sustainability. While aggressive portfolio growth is more likely to reflect as a risk because of a possible leniency/dilution in the underwriting norms over a period, slower growth vis-à-vis the industry level could signify a weakened competitive profile. ICRA also notes that entities with full in-house sourcing and collection teams are likely to have stronger control on the loan origination, monitoring and collection process compared to entities that depend on external agencies for some of their business processes.

- ## Operating Environment

The operating environment has a significant bearing on an HFC's credit rating as it can impact its growth prospects and asset quality considerably. Further, regulatory changes could impact its earnings, regulatory capital requirements or competitive environment. While assessing the operating environment, ICRA looks at the overall economic conditions, the outlook on the real estate sector, trends in demand and price movements in real estate, and the regulatory environment. A favourable outlook on the real estate sector and prices would be a positive from a business growth and asset quality perspective and vice versa.

An HFC's performance can be significantly impacted by regulatory changes. For instance, the establishment of the credit information bureau has helped lenders take informed credit decisions, while coverage under the Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest Act, 2002, (SARFAESI) makes recovery of real estate backed loans more efficient. Thus, the coverage of HFCs under SARFAESI is considered a credit positive. Similarly, the Insolvency and Bankruptcy Act (IBC) would support recoveries in certain high-ticket defaults. Going forward, HFCs are likely to be subjected to a tighter liquidity risk management framework. While the same would have some impact on their earnings performance, it should improve their resilience towards unforeseen and unfavourable market movements.

[2] *The bigger company on the strength of its standing in the overall market and the smaller one on account of its unique offering or its strong relationship with the key participants in the credit chain of the target segment*

The intensity of competition has a significant bearing on the credit profile of an HFC as the prevailing or anticipated competitive intensity would influence the company's growth prospects, earnings and management strategy. The promotional schemes of leading market players could impact the competitive position of other players (e.g. teaser rate loans). Therefore, ICRA's evaluation focusses on the current level of competition as well as the attractiveness of the segment for potential competition by assessing several factors including growth potential, entry barriers and risk-adjusted returns.

Financial Risk

- ### Profitability

An HFC's ability to generate adequate returns is important from the perspective of both its shareholders and debtholders. The purpose of ICRA's evaluation is to assess the level of future earnings and the quality of earnings of the HFC concerned, which is done by looking closely at the building blocks: interest spreads, fee income, operating expenses, and credit costs. ICRA also analyses the HFC's historical performance for stability and quality of earnings and to understand the impact of the various markets, regulatory, operational and business risks on the earnings. Entities which have taken steps to reduce volatility in their earnings performance and those which exhibited a better stability in their performance across business cycles are viewed more favourably.

The evaluation of an HFC's profitability starts with the interest spreads (yields minus cost of funds) and the likely trajectory of the same in the light of changes in the operating, regulatory and funding environment, and its strategy. It is also important for an HFC to manage its interest rate risk as the same could impact its future profitability. The HFC's ability to complement its interest income with fee income is also assessed. Fee income allows some diversification in the income stream, which, in turn, can improve the resilience of earnings, thereby improving the HFC's risk profile. After assessing the income stream, ICRA evaluates the HFC's operating efficiency (operating expenses in relation to total assets, and the cost-to-income ratio) and compares the same to that of its peers. Finally, the credit costs are estimated based on the company's asset quality profile, and the profitability indicators[3] are compared across peers. Importantly, a very high return on equity may not necessarily translate into a high credit rating, as the underlying risk could be significant as well, in which case it could be more volatile or difficult to predict.

Profitability is typically evaluated on a managed asset basis (including off-balance sheet portfolio) to measure the earnings profile of the entity.

- ### Liquidity

It is important for an HFC to maintain a favourable liquidity profile for honouring its debt commitments in a timely manner and for the smooth functioning of its funding activity (fresh asset creation).

For assessing an HFC's liquidity profile, ICRA evaluates the company's liquidity policy, the maturity profile of its assets and liabilities, the resulting asset-liability maturity gaps, the availability of assets which can be securitised/assigned and the backup available for plugging any gaps and meeting some near-term disbursement requirements. ICRA's evaluation also focusses on the diversity of the HFC's funding sources and their quality (i.e. availability of these sources in a stress situation). A high share of short-tenure borrowings (<1 year) exposes entities to refinancing and interest rate risks during adverse market liquidity conditions, given the relatively longer-tenure loan assets. Increase in dependence on short-term market borrowings, beyond a certain level depending on the credit profile of the entity, could impact its liquidity profile and is a rating sensitivity.

ICRA also studies the borrowing covenants agreed upon by the HFCs with their lenders. Some covenants, especially financial covenants, are very close to the current performance levels and are highly likely to be breached in case of a minor deterioration in the operating environment. The breach of these covenants

---

Profit after tax (PAT) as a percentage of average total assets and PAT as a percentage of average net worth would generally warrant an early redemption, which, in turn, could trigger cross-default clauses in some of the other borrowings. This could exert pressure on the overall liquidity profile. Therefore, entities with a higher share of borrowings with strict covenants and with early redemption clauses linked to these covenants are likely to face higher liquidity-related pressure as their ability to secure fresh funding in a weak operating environment would also be adversely impacted.

ICRA also assesses the financial flexibility of the issuer based on the past track record and other factors including strong ownership, access to group entity support, etc. The cost of funding also provides some insight into the financial flexibility of an HFC. Entities with a vast lender base (number of lenders) and a diverse resource (banks, fund houses, other financial institutions) profile are more likely to have competitive borrowing rates compared to entities with a concentrated resource or lender profile. Further, these entities have a better chance of refinancing during a subdued liquidity environment.

- ## Capital Adequacy

An HFC's net worth provides a second level of protection to the debtholders. Therefore, its adequacy (in relation to the embedded credit, market, and operating risks) is an important consideration for the rating exercise. The riskiness of the product and granularity of the portfolio have a significant bearing on the amount of capital required to provide the desired degree of protection to an HFC's debtholder. The requirement of risk capital varies with the concentration and riskiness of the product mix, as the following chart shows.

Risk Capital Requirement Matrix

		Expected Credit Losses and Variability	
		Low	High
Portfolio Concentration	High	Moderate	High
	Low	Low	Moderately high

Besides evaluating an HFC's ability to meet the regulatory capital adequacy, ICRA adjusts the net worth for deviations in accounting standards, off-balance sheet exposures, investments in subsidiaries and other non-core activities while assessing the adequacy of an HFC's risk capital. Capital requirement analysis is done for the individual business lines (including the off-balance sheet portfolios) of the HFC, if needed, and the 'computed aggregated capital required' is compared with the actual capital available as well as the minimum capital that the company is expected to maintain.

ICRA also evaluates the quality of an HFC's capital, apart from the level of capital. A higher percentage of Tier I capital/Net worth is viewed more favourably. ICRA also evaluates the HFC's net worth in relation to total managed advances as regulatory risk weights for certain loans are lower and regulatory requirements could change over time. While a higher percentage of net worth is viewed more favourably, this ratio needs to be assessed in relation to the riskiness of the product mix of the HFC.

Entities with higher growth rates vis-à-vis what the internally generated cash flows could support are likely to witness some moderation in their capital profiles. In such cases, the ability to raise capital from the market or the promoters is also factored in during the rating exercise. HFCs, which provide visibility on maintaining a comfortable and risk-adjusted capital structure (could vary depending on the target asset class, loans size and borrower profile) over the medium term, are viewed favourably.

- **Asset Quality**

The asset quality assessment covers, among other factors, the quality of the credit evaluation process and the lending norms, riskiness of the loan mix, risk appetite, availability of data to facilitate credit decision-making, and track record in managing the loan book through life cycles. The asset quality is also assessed for credit risk concentration and delinquencies (adjusted for the vintage of the book), gross NPA[†] percentage, net NPA percentage, credit and provision costs and net NPAs in relation to the net worth.

The asset quality plays an important role in indicating the future financial performance of an HFC. The focus of asset quality evaluation is on lifetime losses, variability in losses under various scenarios, the impact of likely credit costs on profitability, and the cushions available (in the form of capital or provisions) for protecting the debtholders.

Diversification is an important consideration for the assessment of an HFC's asset quality. It is generally evaluated in the context of loan mix, credit risk, portfolio granularity, geographical presence, and borrower profile. High levels of diversification can shield an HFC from a downturn in any segment. At the same time, diversification into riskier segments may not improve resilience and may, therefore, not translate into higher ratings. However, an HFC's ability to manage diversification, especially in multiple businesses and/or new geographies, is very important, as is management depth and ability to adopt the skills and techniques needed to run different businesses.

Asset quality indicators can vary depending on the accounting policy for write-offs and the assets acquired in satisfaction of debt. Thus, just comparing these indicators across HFCs may not yield meaningful results. ICRA, therefore, compares the delinquency levels (at 30 days+, 60 days+, 90 days+) for the same asset class and borrower profile across players, adjusted for write-offs. When available, a static pool analysis is conducted as this provides a meaningful estimate of the losses at various stages of the loan cycle as well as the overall lifetime losses. Moreover, it does not consider the distortions caused by a high growth rate.

Management Risk

The governance structure, quality of management, risk management processes, shareholder expectations and the strategy for managing these expectations are the building blocks for determining an HFC's credit risk profile. These are generally supplemented by a comprehensive information technology (IT) & management information system (MIS) as well as conservative accounting and business policies, etc, which provide a more detailed perspective on the company's performance in relation to the prevailing operating environment.

Governance Structure

ICRA's evaluation of an HFC's governance structure involves the assessment of the structural aspects of the type of ownership structure, board and board-level committees, the functioning of these committees and the involvement of key stakeholders in strategic decision-making. A board consisting of qualified and independent members with effective oversight is a positive factor. The size (depending on the scale and complexity of operations) and the constitution of the board (adequate number of Independent Directors and representation by key stakeholders) is an indicator of the diversity and independence, which, in ICRA's opinion, is crucial to ensure sustainable and long-term decision-making.

The assessment also tries to factor in how the business is aligned to meet the various shareholders' expectations, in case of a highly diverse shareholding structure, and the strategy followed to manage the same. ICRA also evaluates the HFC's strategy and business plans, along with shareholder expectations from the company and the possible impact of the same on the overall credit profile, going forward.

Management

The quality of the top management, extent of reliance on the promoter/key man for taking strategic decisions, presence of a second line of management and the quality of the disclosures are the key variables judged while measuring an HFC's management quality. Although this part of the exercise is

[†] *Non-performing assets*

mostly subjective, the actual track record of the management is a supporting factor. Usually, a detailed discussion is held with the management of the issuer HFC to understand its business objectives, plans and strategies, and views on past performance, besides the outlook on the industry.

Risk Management Systems, Credit Policies and Processes

The HFC's risk management policies are evaluated carefully as it provides guidance for assessing the impact of stress events on the company's financial profile. ICRA tries to compare the customer on-boarding, internal audit process, quality of the MIS and collection mechanisms across HFCs. ICRA also compares the underwriting policies of the HFCs with the best practices in the industry to assess the company's risk profile. Some of the key underwriting norms such as loan-to-value ratio, fixed obligation to income ratio, type of mortgage, and proportion of portfolio at relatively higher residual tenures, etc, are evaluated and compared across HFCs. As some of the borrowers of HFCs could also fall in the assessed income segment, ICRA analyses the credit policies, appraisal process and the degree of implementation of the same at the field level. Consistent and fair accounting policies are a prerequisite for financial evaluation and peer group comparisons. HFCs are typically incorporated under the Companies Act and are required to follow the prescribed accounting standards. Further, the National Housing Bank (NHB) has issued prudential norms for HFCs. For evaluating an HFC's accounting quality, ICRA reviews the company's accounting policies, notes to accounts, and auditor's comments. Adjustments, if required, are made to the reported financials for evaluating the key performance indicators and for comparison with peers.

Ownership/Parentage

The ownership structure could have a key influence on an HFC's credit profile. An HFC, which is a part of a large corporate group or which has an established promoter (individual/ institution), can benefit given its strategic fit with the group or from the experience of the individual promoter. Over and above the standalone credit considerations, the likelihood of extraordinary support from the parent to an entity or the support that an entity is likely to extend to other group companies is factored in while assessing the credit profile of the entity. This process involves an assessment of the ability and willingness of the parent to extend support to the entity (and vice-versa), in addition to evaluating the entity's own fundamental credit strength.

All credit ratings necessarily incorporate an assessment of the strengths/weaknesses arising from the issuer being a part of a group. Some of the other points assessed are:

- Experience and commitment of the promoter in the line of mortgage business
- Attitude of the promoter to risk-taking and containment
- Strength of the other companies belonging to the same group as the issuer
- Ability and willingness of the group to support the issuer through measures such as capital infusion/liquidity line, if required

Summing Up

ICRA's credit ratings are a symbolic representation of its opinion on the relative credit risk associated with the entity and the instruments being rated. ICRA arrives at this opinion by conducting a detailed evaluation of the entity's business and financial risks and uses this evaluation to project its future financial performance in various scenarios. While several parameters are used to assess an HFC's business and financial risks, an HFC with a strong business profile and stable financial performance would be viewed more favourably than one with comparable or better financial numbers but with a weaker business profile.

Contact us for any feedback or comments at: methodologies@icraindia.com

Analyst Contacts

Karthik Srinivasan
+91 22 6114 3444
karthiks@icraindia.com

A.M. Karthik
+91 44 4596 4308
a.karthik@icraindia.com

Manushree Saggar
+91 124 4545 316
manushrees@icraindia.com

Supreeta Nijjar
+91 124 4545 324
supreetan@icranindia.com

ICRA Limited

CORPORATE OFFICE
Building No. 8, 2nd Floor, Tower A; DLF Cyber City, Phase II; Gurgaon 122 002
Tel: +91 124 4545300; Fax: +91 124 4050424
Email: info@icraindia.com, Website: www.icra.in

REGISTERED OFFICE
1105, Kailash Building, 11th Floor; 26 Kasturba Gandhi Marg; New Delhi 110001
Tel: +91 11 23357940-50; Fax: +91 11 23357014

Branches: **Mumbai**: Tel.: + (91 22) 24331046/53/62/74/86/87, Fax: + (91 22) 2433 1390 **Chennai**: Tel + (91 44) 2434 0043/9659/8080, 2433 0724/ 3293/3294, Fax + (91 44) 2434 3663 **Kolkata**: Tel + (91 33) 2287 8839 /2287 6617/ 2283 1411/ 2280 0008, Fax + (91 33) 2287 0728 **Bangalore**: Tel + (91 80) 2559 7401/4049 Fax + (91 80) 559 4065 **Ahmedabad**: Tel + (91 79) 2658 4924/5049/2008, Fax + (91 79) 2658 4924 **Hyderabad**: Tel +(91 40) 2373 5061/7251, Fax + (91 40) 2373 5152 **Pune**: Tel + (91 20) 2552 0194/95/96, Fax + (91 20) 553 9231